

Property Investment Purchase Checklist — Victoria

Due diligence for buying an investment property, beyond what a homebuyer checklist covers.

Correct as at July 2026. General information only — not financial, tax or legal advice. Property investment involves complex, individual-specific tax and legal considerations; engage a qualified accountant, mortgage broker, and conveyancer before purchasing.

Section 1 — Structuring the Purchase

- ☐ [] **Decide on ownership structure before you buy** — individual name, joint ownership, trust, or company each carry different tax, land tax, and asset-protection implications. This decision is very difficult to unwind after settlement, so get advice *before* signing, not after.
- ☐ [] **Understand how Victorian land tax will apply to this purchase.** Victoria's general land tax threshold was reduced from \$300,000 to \$50,000 in 2024 — meaning most investment properties in Victoria now attract land tax, even modest-value ones. Your principal place of residence remains exempt, but an investment property generally is not.
- ☐ [] **Check whether trust-held land applies to you** — trusts face a lower land tax threshold (\$25,000 vs \$50,000 for individuals) and can trigger surcharge rates unless a principal beneficiary is validly nominated.
- ☐ [] **If you won't be an Australian tax resident, understand the Absentee Owner Surcharge** — a 4% surcharge on taxable land value applies to absentee owners from the first dollar (no threshold), on top of standard land tax. Notification deadlines to the SRO apply annually (mid-January in recent years) — confirm the current deadline.
- ☐ [] **Get finance pre-approval specific to investment lending** — investment loans are assessed differently to owner-occupier loans (often slightly higher rates, different serviceability tests), so a standard pre-approval may not reflect your real investment borrowing capacity.

Section 2 — Due Diligence on the Property Itself

- ☐ [] **Order a building and pest inspection** — exactly as essential for an investment purchase as an owner-occupied one; undisclosed structural or pest issues erode your yield fast.
- ☐ [] **Review the Section 32 (Vendor's Statement) carefully,** with particular attention to owners corporation records if buying an apartment/townhouse — special levies or poor sinking fund balances directly affect your investment returns.
- ☐ [] **Check the Vacant Residential Land Tax (VRLT) exposure if you don't intend to rent it out immediately.** VRLT applies to residential land left vacant for more than 6 months in a calendar year, and (from 1 January 2025) applies across all of Victoria, not just metro Melbourne, at 1% of the capital improved value. If you're buying to renovate before renting, factor this into your timeline.
- ☐ [] **Research the local rental market specifically** — vacancy rates, typical rents for comparable properties, and tenant demand profile (students, families, professionals) should inform both your purchase decision and your target yield.
- ☐ [] **Check any short-stay/Airbnb restrictions** if considering short-term letting — Victoria applies a short-stay levy (around 7.5% on stays under 28 days, generally collected by the platform), and owners corporation rules may separately restrict or ban short-stay letting entirely.

Section 3 — Setting Up for Compliance From Day One

- ☐ [] **Budget for VIC's rental minimum standards compliance** if the property needs work to meet the 15 mandatory categories (heating, smoke alarms, window coverings, etc. — see the separate Landlord Compliance Checklist in this series for the full list) — factor this into your purchase budget, not as an afterthought post-settlement.
- ☐ [] **Decide on self-management vs. a property manager** — a property manager typically costs 5–10% of rental income but significantly reduces your compliance risk (condition reports, minimum standards, safety check scheduling, VCAT processes) if you're not experienced in VIC tenancy law.
- ☐ [] **Arrange landlord insurance** — separate from standard building insurance, this typically covers loss of rent, tenant damage, and liability specific to renting out a property.
- ☐ [] **Engage a quantity surveyor for a tax depreciation schedule** before or shortly after settlement — see the separate Tax & Depreciation Checklist in this series for what this covers and why timing matters.

Section 4 — Understanding the Current Tax Environment (Know Before You Buy)

- ☐ [] **Be aware that negative gearing and CGT settings are changing.** Recent Commonwealth tax reform legislation affects the capital gains tax discount on investment properties, with changes generally applying from 1 July 2027 onward — this is a live policy area, so confirm the current settled position with your accountant before finalising your investment strategy, rather than relying on older assumptions about the 50% CGT discount continuing unchanged indefinitely.
- ☐ [] **Understand this is a purchase-timing-sensitive area.** Given ongoing reform, the timing of your purchase relative to legislative changeover dates can materially affect your future tax position — this is a conversation to have with your accountant *before* signing, not after.

Quick Reference — VIC Investment Property Tax Snapshot (July 2026)

ITEM	DETAIL
Land tax threshold (individuals)	\$50,000 (reduced from \$300,000 in 2024)
Land tax threshold (trusts)	\$25,000
Absentee Owner Surcharge	4% of taxable land value, no threshold
Vacant Residential Land Tax	1% of capital improved value, applies statewide since 1 Jan 2025
Short-stay levy	~7.5% on stays under 28 days

Land tax and surcharge rates change with each state budget — always confirm current figures with the State Revenue Office (sro.vic.gov.au) before settling on a purchase strategy.

© HouseHQ. General information only, current as at the date shown — not financial, tax or legal advice. Engage a qualified accountant, mortgage broker and conveyancer for advice specific to your circumstances.

© HouseHQ. This document is licensed for the personal use of the purchaser only. Reproduction, resale, or redistribution of this checklist, in whole or in part, is prohibited without written permission from HouseHQ.
UNAUTHORISED DISTRIBUTION VOIDS ANY REFUND ENTITLEMENT AND MAY BREACH COPYRIGHT LAW.